

Before the
FEDERAL MARITIME COMMISSION

Washington, D.C. 20573

Docket No. 23-02

BED BATH & BEYOND INC. v.

ORIENT OVERSEAS CONTAINER LINE LIMITED AND OOCL (EUROPE) LIMITED

**COMPLAINANT’S MOTION FOR PERMISSION TO FILE PROPOSED
VERIFIED FIRST AMENDED COMPLAINT AGAINST RESPONDENTS**

Complainant 20230930-DK-Butterfly-1, Inc., formerly known as Bed Bath & Beyond Inc. (“Complainant”), by and through its undersigned attorneys, hereby moves pursuant to Rule 66 of the Federal Maritime Commission’s (the “Commission”) Rules of Practice and Procedure (the “Rules”), 46 C.F.R. Section 502.66, for permission from the Presiding Officer in this case to file its proposed Verified First Amended Complaint, attached hereto as Exhibits A (clean version) and B (redline to Verified Amended Complaint) (the “FAC”), against Respondents Orient Overseas Container Line Limited and OOCL (Europe) Limited (together, “Respondents”).

LEGAL STANDARD

Rule 66(a) of the Rules, 46 C.F.R. Section 502.66(a), provides:

Amendments or supplements to any pleading (complaint, Order of Investigation and Hearing, counterclaim, crossclaim, third-party complaint, and answers thereto) will be permitted or rejected, either in the discretion of the Commission or presiding officer. No amendment will be allowed that would broaden the issues, without opportunity to reply to such amended pleading and to prepare for the broadened issues. The presiding officer may direct a party to state its case more fully and in more detail by way of amendment.

The Rules do not specify criteria for permitting or rejecting proposed amended pleadings, but Rule 12, 46 C.F.R. Section 502.12, provides that “[i]n proceedings under this part, for situations which

are not covered by a specific Commission rule, the Federal Rules of Civil Procedure will be followed to the extent that they are consistent with sound administrative practice.” Rule 15(a)(2) of the Federal Rules of Civil Procedure provides that the court—here, the Presiding Officer—“should freely give leave [to amend a pleading] when justice so requires.”

PROCEDURAL POSTURE

Complainant has not previously sought to amend its Verified Complaint. On June 12, 2024, the undersigned counsel sent counsel for Respondents an unverified draft of the proposed FAC, inviting Respondents to (i) confirm Respondents’ consent for Complainant to file the proposed FAC in a publicly filed version; (ii) permit Complainant’s former General Counsel, David Kastin, who remains employed with Complainant’s successor entity, access to all documents that are quoted or cited in the proposed FAC and designated as “Attorneys Eyes Only” pursuant to the Protective Order entered by the Presiding Officer on July 28, 2023 (the “Protective Order”); and (iii) meet and confer with Complainant as to whether Respondents would oppose the instant motion. On June 18, 2024, Respondents replied via email that (i) Respondents would not consent to the public filing of the proposed FAC, (ii) Respondents consented to Complainant providing its former General Counsel access to all documents that are quoted or cited in the proposed FAC, and (iii) Respondents intend to oppose the instant motion without accepting Complainant’s invitation to meet and confer regarding the confidentiality designations of the documents cited or quoted in the proposed FAC. On June 28, 2024, Complainant and Respondents filed a joint status report and motion to extend expert and other deadlines noting that the instant motion would be forthcoming; no other motions are currently pending. This case currently is in discovery, which under the May 22, 2024 Third Revised Scheduling Order runs through September 10, 2024.

ARGUMENT

Complainant's proposed FAC does not add any additional respondents to this proceeding and alleges violations of the same sections of the Shipping Act invoked by the original Verified Complaint, except for an additional claim alleging retaliatory conduct by Respondents in violation of the former 46 U.S. Code Section 41104(a)(3), now codified at 46 U.S. Code Section 41102(d) ("Section 41102(d)"). This additional claim in the proposed FAC, which only became known to Complainant through the production of documents by Respondents to Complainant during the course of discovery in this case, was presented to Respondents prior to the start of depositions in this case, is being brought prior to the completion of discovery, does not impermissibly broaden the issues in the case, and is timely brought under 46 U.S. Code Section 41301(a).

Proposed Additional Retaliation Claim Under Section 41102(d): The proposed FAC's additional claim under Section 41102(d) alleges Respondents' refusal, or threats to refuse, cargo space accommodations when available and resort to other unjust, unreasonable, or discriminatory methods against Complainant on the basis that Complainant had sought to mitigate its injuries by sending an October 18, 2021 letter to Respondents explicitly putting Respondents on notice regarding certain practices of Respondents that were inconsistent with the Commission's guidance on reasonable demurrage and detention practices (the "October 2021 Letter").

Based on information produced by Respondents in discovery in this case, Complainant's proposed Section 41102(d) claim and associated factual and legal allegations reflect violations of the Shipping Act based on systemic practices and decisions by Respondents. As alleged in the original Verified Complaint, Respondents' course of conduct during the relevant time period reflected conscious and intentional practices and policies, such as the unjustified detention and demurrage charges addressed in Complainant's October 2021 Letter, designed to enrich

Respondents at the expense of shippers during a time of significant market disruption. As alleged in the proposed FAC, after Complainant voiced its concerns in the October 2021 Letter as to Respondents' unjust and unreasonable practices, instead of reassessing such practices to bring themselves in compliance with the Shipping Act and its associated rules and regulations, Respondents instead undertook actions to retaliate against and punish Complainant for raising its legal concerns. Such alleged conduct undermines the fair operation of a competitive shipping market, which the Shipping Act is designed to protect, and chills the ability of shippers and other members of the shipping industry to defend themselves and assert their legal rights against ocean carriers.

The Commission consequently would have a strong interest in adjudicating Complainant's proposed Section 41102(d) claim to ensure that Complainant's alleged injuries receive due process and redress and that such alleged practices do not negatively impact other shippers or the shipping industry as a whole in the future.

Other Proposed Amendments: The proposed FAC also streamlines certain allegations from the original Verified Complaint and alleges additional material facts identified from Respondents' document production during discovery in this case, including internal and external communications by Respondents' employees, reflecting additional details as to the extent of Respondents' alleged violations of the Shipping Act. As reflected in these additional allegations in the proposed FAC, Respondents' unjust and unreasonable conduct throughout the relevant time period was deeply ingrained and well known to Respondents' employees.

There Is Ample Basis to Permit Complainant to File the Proposed FAC: The aforementioned proposed Section 41102(d) claim and other allegations included in the proposed FAC were not yet available to Complainant at the time it filed its Verified Complaint because they

principally stem from Respondents' internal communications produced in discovery in this case. Such facts are and have been well known to Respondents, as they relate to the business relationship between Complainant and Respondents during the 2020–21, 2021–22, and 2022–23 shipping years or otherwise were available to Respondents prior to Complainant bringing this case. As a result, Complainant's proposed FAC will not unduly prejudice Respondents, who have already been in possession of the documents quoted and cited, and who currently can take depositions or provide expert analysis regarding Complainant's new retaliation claim.

As such, the proposed FAC does not impermissibly broaden the issues in the case, and Respondents will, in any case, have an opportunity to respond to the instant motion and prepare their defenses with respect to the proposed FAC. Instead, the proposed FAC seeks to address in good faith what appears to Complainant to have been retaliatory conduct that took place in connection with the conduct and time period alleged in the original Verified Complaint. It should also be noted that Respondents have already pursued defenses relevant to Section 41102(d) in response to the original Verified Complaint, and the addition of the proposed Section 41102(d) claim therefore will not significantly enlarge the scope of issues subject to discovery or create any significant additional burden.

There is no dilatory motive underlying this motion. To the contrary, permitting Complainant to proceed in this case on the basis of the proposed FAC would be *more* efficient and cost-effective than filing a new, separate Section 41102(d) complaint against Respondents, and would allow the overlapping issues to be addressed in a streamlined fashion both in discovery and by the Presiding Officer in this case. As this case is still in the midst of discovery, the proposed FAC should not, in and of itself, cause delay or inconvenience.

CONCLUSION

For the foregoing reasons, Complainant respectfully moves the Presiding Officer in this case for an order permitting Complainant to file and proceed in this case on the basis of the proposed FAC filed herewith.

Dated: July 8, 2024

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Certificate of Service

I hereby certify that I have this day served the foregoing document upon Respondents Orient Overseas Container Line Limited and OOCL (Europe) Limited by emailing copies of the document to their counsel of record listed below:

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